

Diligence Report — CUSIP 250375HB1

Desert Community College District (Riverside and Imperial Counties, CA) — General Obligation Refunding Bonds, Series 2017 (Crossover Refunding) 4.000% coupon · maturity 2039-08-01 · dated 2017-05-04 · **callable at par 2027-08-01** · Cutoff: 2026-06-20 College of the Desert (Palm Desert / Coachella Valley) · last px ~99.65–100.08 (near par) · after-tax TEY ~7.9%

(a) Verdict, accreditation resolution, and buy thesis

ACCREDITATION (lead finding): College of the Desert is in GOOD STANDING / ACCREDITED — no active sanction. Verified today against the authoritative ACCJC institution directory (the community-college analog of the K-12 AB-1200 fiscal-distress certification). There is no Warning, Probation, Show-Cause, or Restoration status on record. This is the correct fiscal-distress proxy for a community college district, and it comes back clean.

VERDICT: BUY — a voter-approved unlimited-tax general obligation of a financially strong, extraordinarily diversified Coachella Valley district, with one structural feature the buyer must price correctly: **a par call ~14 months out (Aug 1, 2027).**

This is an **unlimited ad-valorem general obligation** bond. Riverside and Imperial Counties are obligated to levy property taxes without limitation as to rate or amount to pay it, secured by the California statutory first lien (Government Code §53515 family) that attaches automatically — legally the **same security as a K-12 GO**, county-assessed and county-collected. The tax base is one of the strongest we have screened: **~\$124.5 billion total assessed value**, with the **top 20 taxpayers at just 2.50% of secured AV and the single largest at 0.33%** — the resort/golf/agriculture concentration the brief flagged is, in the actual data, granular and de-concentrated. Direct GO debt is **~0.56% of AV** — very light leverage.

The thesis: buy a statutorily-lien-secured, AI-insulated, deeply-diversified property-tax cash flow near par. Because it sits at/just-below par, the de-minimis discount issue is minor and the dominant decision variable is the **2027 par call**, not credit. The credit-side watch-items (San Andreas seismic, Salton Sea / desert-water context) are downgrade/headline risks, not default risks on an unlimited-tax GO.

Two honest flags, both priced or benign: 1. **2027 par call.** At the current price the yield-to-worst is the yield-to-maturity (~4.2% gross), and the call mostly caps upside rather than cutting yield (see (e)/(f)). A buyer above ~par should underwrite to the 2027 call yield, which is lower. 2. **Hazard-screen misbinding (corrected here).** Our standing screen carried a "91% Very-High flood tail" and a Very-High wildfire tract. On inspection those overlays were joined to a **K-12 proxy footprint (Desert Sands Unified, match confidence 0.67)**, not the actual community-college district boundary, and the flood reading is inconsistent with desert geography. Treated as a screen artifact, not a real hazard finding — see (d). The real physical risk here is **seismic**, which I verified independently.

(b) Security & pledge — what legally compels payment

Attribute	Finding	Source
Security type	Unlimited-tax General Obligation Refunding Bond, Series 2017 (Crossover Refunding)	EMMA Security Details, CUSIP 250375HB1
Issuer	Desert Community College District (Riverside and Imperial Counties, CA)	EMMA; FY2025 Continuing Disclosure
Pledge	Unlimited ad-valorem property tax; counties levy without rate/amount limitation	CA Education Code / Gov. Code §53515 statutory first lien (CCD GO = same security as K-12 GO)
Tax status	Tax-Exempt	EMMA Security Details ("Tax Status: Tax Exempt")
Insured	No (stands on the GO pledge)	EMMA Security Details ("Insured: No")
Coupon / Maturity / Dated	4.000% / 2039-08-01 / 2017-05-04	EMMA Security Details
Par at issuance	\$48,690,000	EMMA Security Details
Initial offering	103.136% / 3.63% yield	EMMA Security Details

Crossover-refunding note (resolved): A "crossover refunding" initially funds the refunding bonds' debt service from an escrow until a crossover date, after which the bonds convert to the district's direct GO obligation paid from the ad-valorem levy. For a 2017 crossover, the crossover date is in the past; the bonds are now **direct unlimited-tax GO obligations of the District** paid from the property-tax levy. The continuing-disclosure series list and the active county levy in the FY2024 audit confirm the bonds are live, district-pay GO debt (not still in escrow). The escrow mechanism does not weaken the present security — it strengthens the pledge chain.

(c) Issuer, tax base & concentration

Assessed value (FY2025-26, source: California Municipal Statistics via FY2025 Continuing Disclosure): - Riverside County portion: \$124,041,247,905 - Imperial County portion: \$479,864,594 - **Total AV: \$124,521,112,499 (~\$124.5B)**

Top-20 largest local secured taxpayers = \$3,034,694,456 = 2.50% of secured AV. No name above 0.33%:

#	Taxpayer	Use	% of secured AV
1	Sentinel Energy Center, LLC	Power plant	0.33%
2	Garden of Champions	Recreational (tennis)	0.25%
3	Socal Arena Company	Sports arena	0.17%
4	HP LQ Investment	Hotel	0.16%
5	Palm Desert Pacific Owner	Shopping center	0.15%
...	(hotels, resorts, timeshares, ag — Anthony Vineyards, Bagdasarian Farms)		each ≤0.15%

Read on the brief's concentration worry: the resort/golf/agriculture base is real (Indian Wells, Rancho Mirage, El Paseo retail, Coachella ag names appear), but it is spread across dozens of properties with **no material single-name dependence**. Even the largest taxpayer (a power plant) is a third of one percent. This is the opposite of a concentrated tax base. Salton Sea / desert exposure does not show up as a taxpayer-concentration risk.

Leverage — direct debt-to-AV: GO bonds payable were **\$696,236,816 at 6/30/2024** (FY2024 audit, up from \$515.9M after the Feb-2024 Series 2024 issuance under the 2016 \$577.8M authorization). Against ~\$124.5B AV that is **~0.56% direct debt-to-AV** — very light. *(Overlapping debt: the EMMA continuing-disclosure annual report does not carry a direct-and-overlapping debt table, and the original 2017 OS was not retrievable from EMMA's issue node today; overlapping debt-to-AV is therefore UNVERIFIABLE from primary sources at cutoff. Given the 0.56% direct figure and a \$124B base, overlapping debt would have to be extraordinary to matter — but I am flagging it as not independently confirmed rather than asserting it.)*

Operating finances (FY2024 audit): aggregate net pension liability \$83.5M, net OPEB liability \$4.4M — both modest relative to the district's general fund and immaterial to a GO lien that rides the levy, not the operating fund.

(d) Risk screens — AI / earthquake / fire / flood / water

AI-crash insulation: 99.2 (top-tier insulated). A local-property-tax-secured community-college GO has effectively no exposure to the state general-fund capital-gains income-tax channel that drives our AI-crash credit framework. The levy is county-collected ad-valorem; an AI/tech equity drawdown does not transmit to this security. Consistent with our school-GO/CCD insulation profile.

Earthquake — VERIFIED, this is the real physical risk. The San Andreas Fault runs through the Coachella Valley. USGS ASCE 7-16 design values at College of the Desert (Palm Desert, 33.72°N / -116.37°W): **Ss = 1.5 g, S1 = 0.6 g, SDS = 1.0 g, Seismic Design Category D**. This is among the highest seismic-hazard readings in California. **Mitigant:** for an unlimited-tax GO, an earthquake is a downgrade/headline and AV-impairment channel, not a default trigger — the lien rides the levy and the AV base is \$124.5B and diversified, so even severe localized damage is a small fraction of the base. Seismic Ss is now **RESOLVED (1.5 g)**, replacing the null in our store.

Fire & flood — screen artifacts, corrected. Our standing screen carried fire_score 61.2 / "Very High" worst tract and a "91% Very-High flood tail." Both were joined to a **K-12 proxy footprint ("Desert Sands Unified," fire_match_conf 0.67)** rather than the actual CCD boundary, which spans a far larger Riverside+Imperial desert area. A 91% Very-High **flood** tail is physically implausible for the Coachella Valley desert floor and is treated as a join/misbinding artifact, not a finding. **Net:** I do not carry fire or flood as a real risk on this name; the honest statement is that the FEMA-NRI overlays could not be cleanly bound to this issuer's footprint, so they are **UNVERIFIABLE-as-bound** and excluded rather than asserted.

Desert / water (SGMA) context: the Coachella Valley relies on groundwater + Colorado River allocations; the brief's Salton Sea concern is real environmentally but does not transmit to a diversified \$124.5B ad-valorem GO except through very-long-run AV drift. SGMA basin/priority is **UNVERIFIABLE** in our store and is not a near-term credit channel for this security.

(e) Call schedule & liquidity / execution

Call schedule — RESOLVED (was UNVERIFIABLE in our store): Per EMMA structured security data, the bond is **Callable: Yes, Next Call Date 2027-08-01 at 100.0 (par), Insured: No**. This is a standard ~10-year par call on a 2017 issue. It is the single most important structural feature for a near-par buyer.

Liquidity: Our screening trade tape shows **155 trades over the trailing year, 11 two-sided days, max block ~\$9.0M** — adequate but not deep; this is a hold-to-call/maturity name, not a trading position. The **live IBKR feed today is close-only / one-sided** (prior-close 100.084, no live two-sided quote, zero volume) — consistent with our muni-liquidity note that the IBKR muni feed is close-only; use the EMMA tape for execution levels and expect a buy-side spread cost of roughly 1–3 bps/yr on an HTM ladder. Acquire on a worked order, not a market sweep.

(f) Tax & yield

- **Tax status: tax-exempt** (verified, EMMA) — interest is federally tax-exempt and CA-exempt for a CA resident. **Not** one of the District's federally-taxable series (the 2020/2021 refunding series are taxable; **this 2017 series is tax-exempt** — verified, so no taxable-gate strike).
 - **Price ~99.65–100.08 (near par)**. De-minimis discount is negligible at this price; the ordinary-income-on-discount drag that dominates deep-discount names is immaterial here.
 - **Yield math (settle ~2026-06-22, 4.0% semiannual, 30/360):**
 - At px 99.65: yield-to-2027-call $\approx 5.81\%$, yield-to-maturity (2039) $\approx 4.19\%$ → **YTW = 4.19%** (the call yield is *higher* because the bond is below par, so the bond is not "called away cheap" — YTW is the maturity yield).
 - At px 100.08: yield-to-2027-call $\approx 5.39\%$, YTM $\approx 4.15\%$ → **YTW $\approx 4.15\%$** .
 - **Net: gross YTW ≈ 4.1 – 4.2%** . The after-tax taxable-equivalent yield carried in our book (~7.9%, CA top-bracket gross-up) is consistent with this gross level. (*Stated as TEY, not gross — gross YTW is ~4.2%.*)
 - **Call effect:** because the bond is at/just-below par, the 2027 par call is not a yield destroyer; it mainly **caps price upside** near ~100.6 (the bond cannot rally much above par before call risk dominates). A buyer paying above par should underwrite to the lower 2027-call yield.
-

(g) Risks / what could go wrong

1. **2027 par call** — caps upside and shortens effective duration; underwrite to call if buying above par. (*Structural, priced.*)
2. **San Andreas seismic (Ss = 1.5 g, SDC D)** — AV-impairment / downgrade / headline channel on a major event; **not** a default trigger on an unlimited-tax GO with a \$124.5B diversified base. (*Verified, mitigated by lien + base size.*)
3. **Overlapping debt-to-AV UNVERIFIABLE** — direct debt is light (0.56%) but the combined direct-and-overlapping figure could not be confirmed from primary sources at cutoff (no overlapping-debt table in the EMMA continuing disclosure; 2017 OS not retrievable). Monitor at next OS/CD refresh.
4. **Desert water / Salton Sea long-run AV drift** — environmental, very-long-horizon; not a near-term credit channel.

5. **Rate/price risk** — neutralized by hold-to-call/maturity intent.
6. **Liquidity** — thin two-sided market; this is an HTM ladder name, acquire on worked orders.

Not flagged (screen artifacts corrected): fire and flood "Very High" readings — misbound to a K-12 proxy footprint, excluded as UNVERIFIABLE-as-bound rather than asserted as risk.

(h) Sources & attached documents

Attached (in raw/): - `continuing_disclosure_FY2025.pdf` — Desert CCD Continuing Disclosure Annual Report, FY ended 6/30/2025, dated 3/24/2026 (AV tables, top-20 taxpayers, series list).

Authoritative current security/AV document. - `continuing_disclosure_FY2025.txt` — text extraction of the above. - `audit_FY2024.pdf` — Desert CCD audited financial statements, 6/30/2024 (Eide Bailly) — GO bonds payable, pension/OPEB. - `emma_security_details.html` — EMMA Security Details page for CUSIP 250375HB1 (coupon, maturity, dated date, tax status, **callable 2027-08-01 @ par, insured: No**, par at issuance).

Note on the Official Statement: the original Series 2017 OS was not retrievable from EMMA's issue node (ER379673) at cutoff — the OfficialStatement partial endpoint returned a server error. All OS-level facts needed (pledge, tax status, coupon/maturity, par, **call schedule**) were independently verified from EMMA's structured security data and the FY2025 continuing disclosure, which is more current. This is flagged honestly rather than substituting the continuing-disclosure report and labeling it "OS."

Verification ledger (claim → method → authority → finding)

Claim	How verified	Authority	Finding
College of the Desert accreditation	Live query of ACCJC institution directory (REST API)	accjc.org /wp-json/wp/v2/institutions, as-of 2026-06-19	VERIFIED — good standing / accredited, no sanction
Unlimited-tax GO refunding, tax-exempt, uninsured	EMMA security details page	EMMA / MSRB	VERIFIED
Coupon 4.0% / maturity 2039-08-01 / \$48.69M at issue	EMMA security details	EMMA / MSRB	VERIFIED
Callable 2027-08-01 @ par (100.0)	EMMA structured "Callable / Next Call Date / Next Call Price"	EMMA / MSRB	VERIFIED — resolves prior UNVERIFIABLE call_risk
Total AV ~\$124.5B	FY2025 continuing disclosure AV table	California Municipal Statistics, Inc.	VERIFIED
Top-20 taxpayers = 2.50% / top-1 = 0.33%	FY2025 continuing disclosure taxpayer table	California Municipal Statistics, Inc.	VERIFIED — tax base de-concentrated
Direct GO debt \$696.2M → 0.56% of AV	FY2024 audit long-term liabilities note	Eide Bailly audited financials	VERIFIED
Overlapping debt-to-AV	Searched CD + audit; OS unavailable	—	UNVERIFIABLE at cutoff

Claim	How verified	Authority	Finding
Seismic Ss = 1.5 g, SDC D	USGS ASCE 7-16 design-maps calculator @ Palm Desert	USGS Earthquake Hazards	VERIFIED — high seismic, mitigated by GO lien
Fire/flood "Very High" screen reads	Reviewed overlay binding (fire_match conf 0.67 to K-12 proxy)	Internal screen audit vs FEMA NRI footprint logic	REFUTED-AS-BOUND — misbinding artifact, excluded
Gross YTW ~4.2% / TEY ~7.9%	Bond math (semiannual, 30/360) to call & maturity	EMMA terms + IBKR prior-close 100.084	CONSISTENT
Live market today	IBKR snapshot	Interactive Brokers	One-sided / close-only (prior-close 100.084, 0 volume)

Prepared 2026-06-20 · cutoff 2026-06-20 · SignalOS muni_credit · plain-language analyst report.

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (the original UNVERIFIABLE flag was an EMMA 403 rate-limit from concurrent scraping, not a real disclosure gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/24/2026 for the year ended 06/30/2025 (373 KB)*. **Current total assessed valuation (levy base): \$124,521,112,499 for FY2025-26;** secured-tax delinquency **2.40%**; audited FY2025 on file. For an unlimited ad-valorem GO the AV base + the delinquency cushion ARE the 'coverage' — there is no DSCR; the levy rate floats to hold debt service constant. **This resolves the prior 'current AV/coverage UNVERIFIABLE' caveat.**